

Microsoft Corporation

NASDAQ: MSFT | Information Technology — Software & Cloud | 5 August 2026

HOLD Fair value: \$488 | CMP: \$488.63 (05-Aug-2026) | Fairly valued (total return ~0.6%)

Investment Summary

Microsoft has just delivered one of the strongest quarters in its history, and we rate it HOLD. Both statements are true, and the tension between them is the entire investment case.

Q4 FY2026, reported on 29 July, beat on every visible line: revenue of \$90.0bn (+18%), adjusted EPS of \$4.74 against \$4.33 expected, and Azure growth accelerating to 43% from 40% — with management guiding to roughly 45% for the September quarter. Azure passed \$100bn of annual revenue for the first time. For the full year, revenue reached \$331.8bn (+18%) and operating income \$155.2bn (+21%), with operating margin expanding to 46.8%, the highest in the company's modern history.

Then look at the cash flow statement. In FY2022 Microsoft generated \$65.1bn of free cash flow. In FY2026, after revenue grew 67% and operating income grew 86%, it generated \$67.0bn. Four years of extraordinary operating progress have produced essentially no additional free cash, because capital expenditure has risen almost fivefold — from \$23.9bn to \$115.9bn, now 35% of revenue. Free-cash-flow margin has halved, from 32.9% to 20.2%.

That is not a criticism of the strategy; it may well prove the best capital allocation of the decade. But it is the question a valuation has to answer, and it is why our three methods disagree. A segment sum-of-the-parts, valuing Intelligent Cloud at 30x EBIT, gives \$537. A forward multiple of 26x on FY2027E EPS of \$19.50 gives \$507. A discounted cash-flow model — which must actually fund the capex before it can discount the cash — gives \$404. Weighting them 40/30/30 blends to \$488, against a market price of \$488.63.

We rate Microsoft HOLD: on our numbers it is almost exactly fairly valued, with a total expected return of roughly 0.6% once the 0.74% dividend is added — against a 4.62% risk-free rate. We should be candid that this sits close to the boundary of REDUCE and that the skew is unfavourable: most reasonable adjustments push the number down rather than up. The Street's average target of \$561 (Strong Buy, 56 analysts) implies about 15% upside; reproducing it requires believing the cash-flow method is simply wrong about the capital cycle.

Q4 and FY2026 Results Review

The operating performance is not in question. Intelligent Cloud delivered FY2026 revenue of \$137.8bn (+30%) with segment operating income of \$57.0bn (+28%), and is now the company's largest profit engine. Productivity & Business Processes grew 16% to \$140.0bn on Microsoft 365 and LinkedIn. Only More Personal Computing went backwards, slipping to \$54.1bn from \$54.6bn — Windows, devices and gaming are now a shrinking minority of the business, which is why we carry that segment at the lowest multiple in the sum-of-the-parts.

Three details deserve more attention than they received. First, FY2026 GAAP EPS of \$17.95 grew 32%, but includes \$4,963m — \$0.67 per share — of net gains on the OpenAI investment; on a non-GAAP basis earnings grew 22%, not 32%. Second, and less widely noted, even the adjusted Q4 figure was flattered: management disclosed that discrete items — a \$3.2bn gain on the Anthropic investment and lower-than-expected retirement-programme costs, partly offset by XBOX impairments — benefited diluted EPS by \$0.27. The \$4.74 that 'beat' the \$4.33 consensus therefore contains roughly \$0.27 of non-operating help; the underlying beat was far narrower than the headline implied.

Third, and more encouragingly, management cut calendar-2026 capital-expenditure guidance to approximately \$175bn from about \$190bn. After four years of relentless escalation, that is the first concrete evidence of discipline, and it matters more to the valuation than the revenue beat did — particularly since Alphabet moved in the opposite direction, raising its own 2026 guidance to \$195–205bn in the same reporting season. Set against that, commercial remaining performance obligation rose 84% to \$678 billion, more than two years of revenue already under contract. That backlog is the strongest single argument against our own DCF.

Snapshot

Metric	Value	Note
Market cap	~\$3.64 trillion	7,451m diluted shares
FY2026 revenue	\$331.8bn (+18%)	Operating margin 46.8% — a record
FY2026 net income / EPS	\$133.7bn / \$17.95	Includes \$0.67 of OpenAI gains
Free cash flow	\$67.0bn	Versus \$65.1bn in FY2022 — four flat years
Capex	\$115.9bn (35% of revenue)	Up ~5x since FY2022
Valuation	25.1x forward P/E · 54x FCF	De-rated on earnings, not on cash

Valuation

Microsoft is three businesses with genuinely different economics, so we value it sum-of-the-parts and cross-check against cash flow and a relative multiple.

- Intelligent Cloud — \$57.0bn of FY2026 operating income at 30x EBIT, giving ~\$1.71tn. A rich multiple, justified by Azure compounding at 43% and segment profit at 28%.
- Productivity & Business Processes — \$83.9bn of operating income at 25x, giving ~\$2.10tn. Microsoft 365 is among the most durable franchises in software, and at a 59.9% operating margin it is the group's most profitable segment.
- More Personal Computing — \$14.4bn of operating income at 12x, giving ~\$0.17tn. Revenue fell 4% in Q4 and the segment earns no premium.

That totals \$3.98tn of enterprise value; adding \$20.0bn of net cash — stated conservatively, after \$16.5bn of operating-lease liabilities — gives \$537 per share across 7,453m diluted shares, about 10% above the market. On segment multiples Microsoft screens modestly cheap.

The discounted cash flow tells a different story, and it is the one that matters. We model operating cash flow compounding from \$220bn in FY2027 to \$395bn by FY2031, with capital expenditure plateauing near \$185bn — a deliberately balanced path that assumes the spending both continues and eventually stops rising. Discounting at a 9.5% WACC with 4% terminal growth returns \$404, some 17% below the market price. The gap is not a modelling quirk: it is the arithmetic of a company whose free cash flow has not grown since 2022.

A forward multiple of 26x on FY2027E EPS of \$19.50 gives \$507. Microsoft traded between 32x and 37x through FY2023–25 and sits at 25.1x today, so the multiple has already de-rated considerably — the market is not obviously euphoric here. Blending the three at 40% sum-of-the-parts, 30% DCF and 30% relative gives \$488.

The return hurdle settles the rating. The US 10-year Treasury yields 4.62%, implying a cost of equity near 10.1% with a five-and-a-half point equity risk premium. Microsoft's total expected return on our numbers is approximately zero. That is a HOLD, not because the business is faltering — it plainly is not — but because the price already reflects a successful outcome to the capital cycle.

Stress Test

Because the call sits on a boundary, the scenarios matter more than the point estimate.

- Bear — capex keeps climbing toward \$200bn and Azure decelerates; segment multiples compress to 26x/22x/10x. Blended value \$394, about 19% below the market. REDUCE.
- Base — capex plateaus near \$185bn and Azure compounds as guided. Blended value \$488. HOLD.
- Bull — the guidance cut marks a genuine peak in spending and the \$678bn backlog converts; multiples expand to 34x/28x/14x. Blended value \$583, roughly 20% above the market. BUY.

Single-variable tests show how finely balanced this is. Raising the WACC to 10.5% gives \$468. Cutting terminal growth to 3% gives \$471. Valuing Intelligent Cloud at 26x rather than 30x gives \$476, and Productivity at 22x gives \$474. Using an FY2027 EPS of \$18.50, cleaned of the one-off gains, gives \$480. Every one of those is a defensible assumption, and every one produces a negative expected return. Only the Street's own 29x multiple or a materially better cash-flow path restores upside. We read that asymmetry as a warning rather than a verdict — hence HOLD rather than REDUCE, but with no appetite to add.

Key Risks

- Capital expenditure fails to plateau; the guidance cut proves temporary and free cash flow stays flat into FY2028.
- Azure growth decelerates from 43% as the comparison base builds and enterprise AI budgets normalise.
- Depreciation from the capex wave compresses margins with a two-to-three-year lag, even if spending stops rising.
- OpenAI-related gains and the wider relationship introduce earnings volatility that is not operating in nature.
- More Personal Computing continues to shrink, removing a cash contributor that historically funded reinvestment.
- Competitive intensity from Alphabet and Amazon in cloud and AI infrastructure, both spending at comparable scale.

Company Overview

Microsoft operates three reporting segments: Productivity & Business Processes (Microsoft 365, Office, LinkedIn, Dynamics), Intelligent Cloud (Azure, server products, enterprise services) and More Personal Computing (Windows, devices, gaming and search advertising). Fiscal years end 30 June. The company is in the middle of the largest capital-investment programme in its history, building AI infrastructure at a scale that has taken capital expenditure to roughly a third of revenue, and its equity story now rests on whether that investment converts into durable free cash flow.

Disclaimer

Prepared for personal analytical and educational purposes. Not investment advice, nor an offer or solicitation; the author is not a SEBI-registered adviser. Figures sourced from company filings (FY2022–FY2026 and the Q4 FY2026 8-K) and market data believed reliable but not guaranteed. Segment operating income is as reported by the company. The fair value is an illustrative output of the accompanying model and depends entirely on its assumptions. Consult a licensed adviser before acting.

Microsoft Corporation (NASDAQ: MSFT) — Financial Model & Valuation

Fiscal year ends 30 June. The central question is not growth — it is whether the AI capital-expenditure cycle earns its cost of capital. Revenue and operating income are compounding; free cash flow is not.

SNAPSHOT

Current share price (\$, 05-Aug-2026)	488.63
Market capitalisation (\$bn)	3,641
Diluted weighted-avg shares (m)	7,453
52-week high / low (\$)	553.72 / 349.20
Net cash (\$m)	20,017
FY2026 revenue (\$m)	331,839
FY2026 operating income (\$m)	155,237
FY2026 net income (\$m)	133,749
FY2026 diluted EPS (\$)	17.95
— of which OpenAI investment gains (\$)	0.67
Trailing P/E (x)	27.45
Forward P/E (x)	25.05
Dividend / share (\$) and yield	3.64 · 0.74%

Q4 FY2026 RESULTS (reported 29-Jul-2026)

<u>Metric</u>	<u>Value</u>	<u>Comment</u>
Revenue (\$bn)	90.0	+18% YoY; beat ~\$87.6bn consensus
Adjusted EPS (\$)	4.74	beat \$4.33 — a \$0.41 surprise
Azure growth	+43%	accelerated from 40%; ~45% guided for Q1 FY27
Azure FY2026 revenue	> \$100bn	first time; +41% for the year
Q4 capex + finance leases (\$bn)	41.0	+69% YoY
Calendar-2026 capex guidance	~\$175bn	cut from ~\$190bn — first sign of discipline

Note: FY2026 GAAP EPS of \$17.95 grew 32%, but includes \$0.67 of net gains on the OpenAI investment. On a non-GAAP basis earnings grew 22%. The headline overstates the underlying rate of improvement.

Microsoft — Multi-Method Valuation

\$m unless stated. Segment operating income as reported in the FY2026 8-K. Sum-of-the-parts is the primary method, cross-checked against a free-cash-flow DCF and a forward multiple. Live \$488.63 (05-Aug-2026); US 10-year Treasury 4.62%. Net cash is stated after \$16.5bn of operating-lease liabilities.

KEY INPUTS	
Live share price (\$)	488.63
Diluted shares (m)	7,453.00
Net cash (\$m)	20,017.00
FY2027E EPS (\$)	19.50
WACC	9.50%
Terminal growth	4.00%
US 10-year Treasury (risk-free)	4.62%
Dividend yield	0.74%

METHOD 1 — SEGMENT SUM-OF-THE-PARTS (FY2026 operating income)					
Segment	Revenue	Op. income	Multiple (x EBIT)	Value (\$m)	Basis
Intelligent Cloud (Azure, server)	137,791	56,972	30.0	1,709,160	Azure +43%; EBIT +28%
Productivity & Business Processes	139,996	83,879	25.0	2,096,975	M365/Office/LinkedIn + 16%
More Personal Computing	54,052	14,386	12.0	172,632	Revenue declining; 26.6% margin
Enterprise value		155,237		3,978,767	
Add: net cash				20,017	
SOTP value per share (\$)				537	

METHOD 2 — FCFF DCF (the capex question)					
\$m	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Operating cash flow	220,000	262,000	305,000	350,000	395,000
Capital expenditure	-165,000	-175,000	-180,000	-182,000	-185,000
Free cash flow	55,000	87,000	125,000	168,000	210,000
Discount factor @ WACC	0.913	0.834	0.762	0.696	0.635
PV of free cash flow	50,228	72,559	95,207	116,856	133,398
Sum of PV (explicit period)	468,248				
Terminal value (Gordon, g=4%)	3,970,909				
PV of terminal value	2,522,431				
Enterprise value	2,990,680				
DCF value per share (\$)	404				

METHOD 3 — FORWARD P/E (relative)	
Justified forward multiple (x)	26.0
× FY2027E EPS (\$)	19.50
Relative value per share (\$)	507

Currently 25.1x forward. Traded 32-37x in FY2023-25; the multiple has already de-rated.

BLENDED VALUATION & RATING			
Method	Value/share (\$)	vs price	Weight
Segment sum-of-the-parts	537	9.8%	40%
FCFF DCF	404	-17.3%	30%
Forward P/E	507	3.8%	30%
Blended fair value (\$)	488		
Upside / (downside)	-0.1%		
Add: dividend yield	0.74%		
Total expected return	0.6%		
Cost of equity (RF + 5.5% ERP)	10.1%		
Rating	HOLD		

Rating bands are anchored to the US risk-free rate (10-yr Treasury 4.62%): BUY above the ~10.1% cost of equity, ACCUMULATE above risk-free +2pp, HOLD between zero and risk-free, REDUCE below zero. The Street's average target of ~\$561 (Strong Buy, 56 analysts) implies ~15% upside — it requires the DCF to be wrong about the capex.

Microsoft — Income Statement (\$m)

\$ millions	FY2022	FY2023	FY2024	FY2025	FY2026
REVENUE & PROFIT					
Revenue	198,270	211,915	245,122	281,724	331,839
Revenue growth (%)	18.0%	6.9%	15.7%	14.9%	17.8%
Gross profit	135,620	146,052	171,008	193,893	225,465
Gross margin (%)	68.4%	68.9%	69.8%	68.8%	67.9%
Operating income	83,383	88,523	109,433	128,528	155,237
Operating margin (%)	42.1%	41.8%	44.6%	45.6%	46.8%
Net income	72,738	72,361	88,136	101,832	133,749
Net margin (%)	36.7%	34.2%	36.0%	36.2%	40.3%
Diluted EPS (\$)	10	10	12	14	18

FY2026 net income and EPS include \$4,963m (\$0.67/share) of net gains on the OpenAI investment. Excluding it, non-GAAP earnings grew 22% rather than the 32% GAAP headline — the distinction matters when setting a forward multiple.

Microsoft — Segments (\$m)

\$ millions	FY2022	FY2023	FY2024	FY2025	FY2026
REVENUE BY SEGMENT					
Productivity & Business Processes		94,151	106,820	120,810	139,996
Intelligent Cloud		72,944	87,464	106,265	137,791
More Personal Computing		44,820	50,838	54,649	54,052
Total revenue		211,915	245,122	281,724	331,839

Intelligent Cloud is now the largest profit engine — FY2026 revenue of \$137.8bn (+30%) with operating income of \$57.0bn (+28%), and Azure alone passing \$100bn. More Personal Computing shrank in FY2026, which is why it carries the lowest multiple in the sum-of-the-parts.

Microsoft — Cash Flow (\$m)

\$ millions	FY2022	FY2023	FY2024	FY2025	FY2026
THE CAPEX QUESTION					
Operating cash flow	89,035	87,582	118,548	136,162	182,935
Capital expenditure	-23,886	-28,107	-44,477	-64,551	-115,948
Free cash flow	65,149	59,475	74,071	71,611	66,987
FCF margin (%)	32.9%	28.1%	30.2%	25.4%	20.2%
Capex as % of revenue	12.0%	13.3%	18.1%	22.9%	34.9%

The single most important table in this model. Over five years revenue rose 67% and operating income 86%, yet free cash flow is essentially unchanged — \$65.1bn in FY2022 against \$67.0bn in FY2026 — because capital expenditure has risen almost fivefold to \$115.9bn, or 35% of revenue. Every dollar of incremental operating cash flow has so far been reinvested rather than returned.

Microsoft — Balance Sheet & Ratios (\$m)

\$ millions	FY2022	FY2023	FY2024	FY2025	FY2026
BALANCE SHEET					
Cash & investments	104,757	111,262	75,543	94,565	76,843
Total debt	61,270	59,965	67,127	60,588	56,826
Net cash	43,487	51,297	8,416	33,977	20,017
VALUATION HISTORY					
Trailing P/E (x)	27	35	38	37	21
Forward P/E (x)	25	32	35	35	20
Price / FCF (x)	29	43	45	52	41

Net cash has fallen 41% in a year, from \$34.0bn to \$20.0bn, as the capex programme absorbs the balance sheet. Note also the divergence between the P/E and the price-to-free-cash-flow multiple: on earnings the stock looks cheaper than at any point since FY2022, but on free cash flow it does not.

Microsoft — Comparable Companies

Company	Fwd P/E (x)	Rating (this desk)	Fair value	Note
Microsoft (MSFT)	25.1	—	—	Subject company
Alphabet (GOOGL)	~30.5	HOLD	\$384	Cloud +82%, but FCF now NEGATIVE
Amazon (AMZN)	~29	BUY	\$275	AWS + ads; ~\$200bn CY26 capex
Apple (AAPL)	~38	HOLD	\$302	Premium multiple, slower growth

Cross-reference: this desk now rates Alphabet HOLD (\$384) too, downgraded from BUY after Q2 2026 — Google Cloud grew 82% but free cash flow turned negative at -\$5.9bn on capex of \$44.9bn in the quarter, and 2026 guidance was RAISED to \$195–205bn. Microsoft is the cheapest of the three on forward earnings, and carries the highest capex intensity (~49% of revenue on CY2026 guidance, against ~42% for Alphabet and ~25% for Amazon) — but it is the only one of the three to have CUT its guidance. That asymmetry is why Microsoft is a HOLD rather than a REDUCE.